

ORIGINAL

(S E R V E D)
(JANUARY 30, 1991)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.

January 30, 1991

DOCKET NO. 89-26
THE GOVERNMENT OF THE TERRITORY OF GUAM

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

PROCEDURAL ORDER

MOTION TO QUASH SUBPOENA DUCES TECUM
ADDRESSED TO JOHN J. MCGONEGLE, DENNIS HASELTON,
AND SEA-LAND MOTOR FREIGHT, INC. DENIED

By Subpoena Duces Tecum dated January 9, 1991, initiated by the Government of the Territory of Guam, which subpoena was regularly made and duly ordered,¹ John J. McGonegle, Dennis Haselton, and Sea-Land Motor Freight, Inc. (Sea-Land Motor Freight") (collectively referred to as the "movants"), were required to appear for a deposition and to produce certain business documents of Sea-Land Motor Freight. The deposition and the

¹See Rule 131 of the Commission's Rules of Practice and Procedure, 46 CFR 502.131.

production of documents is to take place on February 1, 1991. Mr. McGonegle is the President of Sea-Land Motor Freight and the General Manager of Sea-Land Service, Inc.² ("Sea-Land"). Mr. Haselton is the Long Beach Manager of Sea-Land Motor Freight.

On January 22, 1991, counsel for the movants filed the Motion to Quash. The Motion acknowledges "that the jurisdictional issues raised herein have been previously presented in substantial part to the presiding officer by respondent Sea-Land Service, Inc. ("Sea-Land") and that the presiding officer served a Procedural Order on January 15, 1991 directing that discovery concerning jurisdictional facts go forward." However, despite that acknowledgement Sea-Land Motor Freight makes the Motion to Quash because:

... (1) It is technically a stranger to these proceedings, appearing for the first time; (2) Sea-Land Motor Freight must avoid any arguable waiver of its objections to the attached subpoena; (3) Sea-Land Motor Freight has an independent right to object to a subpoena that seeks to scrutinize its ICC-tariffed operations in an FMC forum; (4) It appears to Sea-Land Motor Freight that the Procedural Order (and subpoena) addressed to it entirely ignore the jurisdictional arguments presented to date by respondent Sea-Land Service; and (5) the subpoena addressed to Sea-Land Motor Freight is much broader in scope than appears to be contemplated by the presiding officer's Procedural Orders of January 9 and January 15, 1991.

The Complainant filed its Reply to the Motion to Dismiss on January 28, 1991.

Given the complexity of this proceeding and the fact that the subpoena is to be satisfied by February 1, 1991, the undersigned telephoned counsel for the complainant and for Sea-Land Motor Freight and Messrs. McGonegle and Haselton to ascertain the exact nature of the problems raised respecting the subpoena. It was his intention to obviate any questions involving the scope of the subpoena and he offered to be present in either

²Sea-Land Motor Freight is a non-party in this proceeding and has tariffs on file with the ICC, and no tariffs on file with the FMC.

Washington, D.C., or San Francisco, California, to direct and rule on inquiries made, thereby furnishing immediate resolution of any issues regarding scope. He was informed by counsel for Sea-Land Motor Freight, however, that the witnesses would not appear and the company's records would not be made available in answer to the subpoena, in any event. Counsel advised that its position was based on the premise set forth in its Motion to Quash that "the FMC has no initial jurisdiction to investigate operations conducted under ICC tariffs."

In light of the above, and especially since the Motion to Quash is based on jurisdictional grounds, it must be denied. It is clear that under the decisions in *Endicott Johnson Corp. v. Perkins*, 317 U.S. 501, 509 (1943), and *Federal Maritime Commission v. Port of Seattle*, 521 F.2d 431 (CCA, 9th, 1975), a District Court cannot deny the enforcement of a subpoena issued by an administrative agency on the ground that the agency lacked jurisdiction over the subject matter of the inquiry. The undersigned concurs. In doing so he is not unmindful of the fact that the Respondents in this proceeding have filed jurisdictional Motions to Dismiss which have been denied and that a new jurisdictional Motion to Dismiss has been filed by Respondent, Sea-Land Service, Inc., since the ICC served its decision in *Puerto Rico Maritime Shipping Authority and PRMMI Trucking Inc.--Petition for Declaratory Order*, No. MC-C-30168 (November 9, 1990). Indeed, my Procedural Order of January 15, 1991, directed the parties to submit certain information within 30 days which will aid in the rendering of a decision regarding the most recent jurisdictional Motion to Dismiss. The Procedural Order contemplated that information secured from the movants in answer to the subpoena would generally be relevant to the jurisdictional question, and that even if it were not, discovery should continue under the

limited guidelines set forth and would be useful on the merits, and should not be further delayed.³

After consideration of the above, as well as the entire record of this proceeding, it is hereby,

ORDERED, that the Motion to Quash Subpoena Duces Tecum Addressed to John J. McGonegle, Dennis Haselton, and Sea-Land Motor Freight, Inc., is denied.⁴


Joseph N. Ingolia
Administrative Law Judge

³The Motion to Quash at page 6 is in error when it states, "The Procedural Order does make it clear that all discovery is stayed except with respect to the very jurisdictional matters that are the subject of Sea-Land's continued objections." To the contrary, while the Procedural Order does state that further discovery "may be necessary to any ruling on Sea-Land's Motion to Dismiss," there is nothing in the Order, nor was it intended that the further discovery contemplated only applied to the jurisdictional motion. Rather, the focus of the Procedural Order was to identify those Sea-Land shipments which occurred after June 23, 1989, and after the filing of ICC Tariff No. 538 which did not involve an ICC motor carrier engaged in an ICC movement. Such information is and may be relevant not only to the jurisdictional motion, but also to the merits of the issues raised in the complaint.

⁴Counsel for Sea-Land Motor Service and the Complainant were advised by telephone on Friday, January 25, 1991, that the Motion to Quash would be denied.